stock breaks out downward when it closes below turn D and makes its way down to E.

Price doesn't stay down long at E, just one trading day. Price does a quick reverse and climbs up, forming a near-vertical wall to the late August peak.

The failure of the stock to climb at more than 5% after D I classify as a failure. Fortunately, these types of situations are rare, happening about 7% or less of the time. The failure rate is low, even for non-Fibonacci-based chart patterns, and it's even lower in bear markets, 2.6%.

A stop-loss order placed below the low at D will protect you from this kind of failure. Just be sure turn D is in place.

Let's discuss performance using numbers.

Statistics

Table 20.2 shows general statistics for crabs.

Number found. Bullish crabs are rare. I found them in 530 stocks, identifying just 737 patterns that I catalogued. I found the first crab in July 1991 and the most recent one in June 2019. Not all stocks covered the entire period, and some no longer trade.

Table 20.2 General Statistics

Description	Bull Market	Bear Market
Number found	553	184
Breakeven failure rate	7.1%	2.6%
Average rise after D	39.1%	32.7%
Volume trend	61% Upward	65% Upward
Performance Up/Down volume	41%U, 36%D	33%U, 33%D

Breakeven failure rate. As I mentioned, the failure rate for bullish crabs is low, lower than traditional chart patterns and even lower than the average Fibonacci-based pattern. Performance measures the rise from the low at D to the ultimate high. The ultimate high is the highest peak before price drops more than 20% or the highest high before price closes below D (the